9. Income taxes

As of December 31, 2000 and 1999, the Company had approximately $323,000 and $345,000, respectively, of deferred tax assets and no deferred tax liabilities. The tax effects that gave rise to these deferred tax assets and the valuation allowance consist of the following (in thousands):

	December 31, 2000	December 31, 1999
Deferred tax assets		
Allowance for doubtful accounts	$ 46	$ 56
Machinery, property, plant and equipment	65	75
Deferred compensation	160	160
Inventory	52	54
Deferred tax assets	323	345
Valuation allowance	(160)	(345)
Net deferred tax assets after valuation allowance	$ 163	$

9. Income taxes (Continued)

A reconciliation between the Company's tax provision and the provision of the U.S. statutory rate follows:

Years ended December 31,	2000	1999	1998
Tax at U.S. statutory rate	$ 356	$ 390	$ (212)
State and local taxes net of Federal benefit	84	111	40
Items not deductible	24		
Net operating loss utilization		(42)	1,608
Valuation allowance adjustment	(185)	41	(1,396)
Other	7		
Income Taxes	$ 272	$ 500	$ 40

Under SFAS No. 109, a valuation allowance is provided when it is more likely than not that some portion of deferred tax assets will not be realized. The Company has for the year ended December 31, 2000 reserved for the deferred tax asset relating to the deferred compensation as the realization of such asset is uncertain. As of December 31, 1999 the Company had a 100% valuation reserve.

The change in the valuation allowance for the year ended December 31,2000 amounted to a decrease of $185,000.